

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate
Transmission System)) Docket No. RM26-4-000

COMMENTS OF AMERICAN TRANSMISSION COMPANY LLC

Pursuant to the Notice Inviting Comments on the proposed advance notice of proposed rulemaking (“proposed ANOPR”) issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) in the above captioned docket,¹ American Transmission Company LLC, along with its corporate manager ATC Management Inc. (collectively, “ATC”), respectfully submits the following comments.

I. Introduction and Executive Summary

ATC is a Wisconsin limited liability company created as a single-purpose, for-profit transmission company.² ATC's uniquely diverse ownership structure — comprising of four investor-owned utilities and twenty-three municipalities and/or cooperatives — actively fosters public power participation in transmission development. ATC began operations under the terms of its own open access transmission tariff on January 1, 2001, and currently owns and operates

¹ Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025); Proposed ANOPR, No. RM26-4-000 (Oct. 27, 2025).

² WIS. STAT. § 196.485(3m) established the framework for the formation of ATC as a single-purpose transmission company to own and operate the electric transmission facilities as a single transmission grid in the areas in which facilities were contributed, and authorized ATC to plan, construct, operate, maintain, and expand the transmission facilities to provide adequate and reliable transmission service.

over 10,000 miles of jurisdictional transmission facilities in the states of Wisconsin, Illinois, Minnesota, and Michigan.³ Since its inception, the Midcontinent Independent System Operator (MISO) has provided transmission service over ATC's transmission facilities pursuant to the terms of the MISO Tariff,⁴ with ATC operating its transmission facilities in accordance with the direction of the MISO. ATC also has its own Commission-approved local planning process set forth in the MISO Tariff at Attachment FF-ATCLLC.

ATC is well-positioned to comment on the impact of data center loads on the electric transmission grid. Data center developments announced in our service territory will require several gigawatts of electric power once fully online, and we have been fielding requests for analysis of new data center proposals on a monthly basis for the past two years.

For the United States to achieve energy and AI dominance, ATC agrees that affordable, reliable, secure, and diversified energy is necessary to enable the integration of these significant new data center loads, which will continue to deliver advancements in AI and computing. The electric grid is the key to success.

Several comments about these new, large loads are in order. AI load is different. This is not just an expansion of the baseline data center loads that exist today. Some considerations:

³ Initially, many of ATC's facilities were acquired, with Commission approval, from a number of previously vertically-integrated companies, municipalities, and electric cooperatives. Transfer of operational control authorized in *Am. Transmission Co. LLC*, 97 FERC ¶ 62,182 (2001).

⁴ The term "Tariff" or "MISO Tariff" means MISO's Open Access Transmission, Energy and Operating Reserve Markets Tariff.

- **Size:** Many of these new AI data centers represent gigawatts of load and are electrically equivalent in size to adding a substantial city to the grid in a comparatively small geographic area.
- **Variability:** While these mega-point loads require detailed study to understand how grid providers can best serve them, their operating characteristics make them even more challenging to analyze and serve. The “new breed” of data centers designed to facilitate the capabilities of AI do not operate like traditional data centers. AI data centers often have extreme operating variability. For example, we are familiar with proposals where the load seeks to ramp up and ramp down by hundreds of megawatts on a second-to-second basis. This is equivalent to turning Wisconsin’s capital city of Madison on and off, repeatedly. These rapid, significant swings are unlike anything our industry has seen before and incomparable to any other load on today’s grid. In addition to new transmission lines, new specialty power electronics devices, such as static synchronous compensators (“STATCOMs”) or enhanced static synchronous compensators (“E-STATCOMs”), also at mega-scale, are necessary to safely integrate this kind of load.
- **Co-located Generation:** New generation located near new load will help to serve that new load. However, for maximum value, both the generation and load need to be integrated into the bulk grid. No large US city is “off-grid.” Likewise, it is hard to fathom a situation where an AI datacenter will also be “off-grid.” The grid exists to provide reliability, economic, and stability benefits that cannot be

provided in a closed system. Unless new co-located generation will never inject power into the grid and new co-located data center load will never be served from the grid, and the data center finds it acceptable to be offline when the co-located generation is offline, the grid must be expanded to integrate the facilities so that it can serve that load on a moment's notice.

ATC has the expertise and the technology to meet the challenge of serving these loads. We respectfully offer the following modifications and enhancements to existing policies to ensure stability and resiliency during this period of growth.

- **Need for margin.** Increased grid capacity is necessary to meet new demand. Currently, there is no margin to quickly integrate new large loads or accommodate the uncertainty of their emerging operational characteristics. Traditional regulation permits only “just in time” grid expansion to meet new demand. Thus, grid development is in a constant state of catch-up. Regulators and policymakers should look at ways to plan and build the system to anticipate new loads and provide more flexibility.
- **Need for speed.** Accelerating the expansion of the grid will require other regulatory changes. Most everyone agrees that the NEPA process needs substantial overhaul. Likewise, FERC Order No. 1000 was issued during a vastly different time in the development of the grid. We now have more than ten years of operating experience under the provisions of Order 1000, and its flaws are clear. The competitive bidding requirements of Order 1000 add a minimum of 18-24 months to the process of new construction. This was an inconvenience in

the past, but it is a catastrophe in the race for AI dominance. These delays are incompatible with developer timelines for bringing new data centers online.

- **Need for cohesive planning, operations, and emergency response.** The delays resulting from Order 1000's competitive bidding process provide sufficient justification for its amendment. Considering the lack of evidence that competitive bidding reduces consumer rates, the fragmentation and inefficiency introduced by additional transmission providers, and the loss of local grid expertise, the case for strengthening state and local control to accelerate and improve data center growth is compelling.

The United States needs a robust, dependable, and sustainable grid to win the AI race. State and local grid providers with successful and long histories of operation reliability, outstanding customer service, and a deep understanding of local conditions and communities provide the best value for consumers and the highest capability to build the grid out as fast as possible. New policies adopted by the Commission to speed up the build out of the grid to meet the opportunity and needs of the AI revolution should recognize this reality.

With this background and our analysis of the policy directives contemplated by the proposed ANOPR, ATC offers the following initial comments and recommendations, including specific feedback on Principles 1-9 and 14.

II. Comments

Generally, ATC recommends that the Commission carefully consider how any proposed reforms will impact existing processes to interconnect loads and whether any mandated process could inadvertently hinder progress. To avoid unintended consequences, the Commission should

focus its efforts on targeted issues, rather than implement sweeping reform. One area that the Commission could focus its efforts on is co-location of load and generation, or hybrid facilities, especially those associated with large data center loads. When a large load is co-located with generation, the interconnection study assumes a certain balance between the load and the generation. If the load needs more than what was studied — for example, because the generation is offline, underperforming, or seasonal — the transmission system must immediately supply that shortfall. For example, if a hybrid facility with a 250 MW data center load and its companion 180 MW on-site generator loses its generation, the transmission system must instantly supply the full 250 MW, potentially overloading lines and forcing emergency actions.⁵ The extra demand is effectively served by the transmission system without corresponding network upgrades to support the load, causing reliability and operational challenges. Moreover, to the degree the load is not paying for the transmission service that it receives, other transmission customers will subsidize the excess load because they share the cost of the grid and reliability services.

In the event that the Commission determines load interconnection procedures are necessary, the requirements should be narrowly focused and permit regional flexibility to the greatest extent possible. ATC, along with other similarly situated transmission owners, has curated processes to successfully interconnect new load safely, reliably, expeditiously, and in a cost-effective manner. ATC has the tools and expertise to adapt to unprecedented development with data center loads. Therefore, if the Commission implements any new requirements

⁵ Large data center loads typically require nearly 100% reliability and are unable to entertain any service interruptions. Therefore, the transmission system must be built to support 100% of the load's capacity. See, e.g., *Flexible Power Use by US Data Centers Is Fiction, Report Says*, Bloomberg, (November 13, 2025), available at <https://www.bloomberg.com/news/articles/2025-11-13/flexible-power-use-by-us-data-centers-is-fiction-report-says>.

associated with load interconnections, the requirements should only impact large loads that do not conform to specific operating requirements, and the Commission should enhance or strengthen, rather than disturb, existing cost allocation principles and individual company business practices already established associated with load interconnections.

A. First Principle:

“[T]o avoid *even arguably* affecting the States’ jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter, the Commission’s jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission’s seven-factor test.”⁶

ATC supports the assertion that the Commission’s jurisdiction must be limited to interconnections directly to transmission facilities, consistent with the seven-factor test.⁷ As a transmission-only company, ATC is restricted by Wisconsin law from serving retail load. ATC presently maintains more than 700 load interconnections with municipalities, cooperatives, and investor-owned utilities (Customers). Generally, ATC accommodates a Customer’s distribution-transmission interconnection requests or load interconnection requests pursuant to the terms of a Distribution – Transmission Interconnection Agreement (D-TIA) between ATC and the Customer.⁸ Upon receiving a load interconnection request, ATC collaborates with the Customer to develop and implement the appropriate interconnection solution to support the new or

⁶ Proposed ANOPR at P 18.

⁷ See *Cal. Pac. Elec. Co.*, 133 FERC ¶ 61,018 (2010).

⁸ See, e.g., *Midcontinent Indep. Sys. Operator, Inc., First Amended & Restated Distribution-Transmission Interconnection Agreements*, Docket No. ER15-193 (December 31, 2014) (delegated letter order) (accepting twenty-six executed First Amended and Restated Distribution-Transmission Interconnection Agreements between ATC and certain local distribution system companies).

modified load in a fair and non-discriminatory manner, as prescribed in Attachment FF-ATCLLC of MISO’s Tariff. Specifically, in Attachment FF-ATCLLC, ATC established the “Best Value Planning” method, which involves partnering with the Customer to conduct an alternatives analysis on all possible solutions, considering cost, reliability, capability, integrity of the system, environmental impacts, necessary regulatory approvals, and schedule constraints.⁹ Through thoughtful analysis and meaningful collaboration with Customers, ATC ensures that each project satisfies our criteria and provides the best possible value for consumers while ensuring the system is safe and reliable. As ATC provides no retail services, the direct interconnection of retail customers to ATC’s transmission facilities is governed in part by the requirements of the local distribution company or Customer in whose service territory the interconnection is requested.

B. Second Principle

“[C]onsistent with the Commission’s *pro forma* LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.”¹⁰

Although a 20 MW threshold would be consistent with the LGIP and LGIA, a 20 MW threshold would be too low and too vague for implementing load interconnection procedures. A 20 MW threshold would include many existing and future non-data center loads. This over-inclusivity would lead to unwieldy procedures and unintended consequences, including

⁹ See MISO Tariff, Attachment FF-ATCLLC Local Planning Process.

¹⁰ Proposed ANOPR at P 19.

overwhelming study resources and likely delaying interconnecting the very loads that the Commission is seeking to expedite. At ATC, we have defined large loads as 200 MWs or greater to avoid imposing burdensome requirements on smaller loads. While the Commission retains the exclusive jurisdiction over the transmission of electric energy in interstate commerce, the Commission should assert its jurisdiction in load interconnections in a manner that is carefully developed and narrowly tailored to promote timely development and support a reliable grid.

Therefore, ATC recommends that the Commission consider adopting an applicability threshold based upon load behavior. The operating characteristics of the “new breed” of data center loads are challenging to study and to integrate into the system. Repetitive oscillatory behavior of AI data centers due to unpredictable processes imposes intense strain on equipment, including nearby generation facilities, and could lead to catastrophic failure without appropriate system protections in place. If not properly addressed, the rapid swings can add to generator cycling and strain, damage generator shafts, affect rotor windings, impact generator frequency response, and cause power quality issues such as flicker and voltage regulation problems for other Customers, potentially impacting wide regions. Due to the unique and specific challenges of interconnecting these new loads, especially at an unprecedented pace, the Commission should consider adopting threshold applicability requirements based upon specific operating requirements for all loads in terms of ramp rates (i.e., how quickly they can increase or decrease electricity usage), active power oscillatory behavior (i.e., how much and how fast active power can swing once they are online), and ride-through capability (i.e., how well the load can remain connected and stable during grid disturbances such as voltage dips, frequency excursions, or short interruptions). As explained below, narrowly tailoring the threshold of applicability to non-conforming loads could provide the Commission with adequate controls, certainty of reliability,

and appropriate cost containment, while maintaining the flexibility for transmission owners, such as ATC, to continue to interconnect traditional, conforming loads based upon our existing interconnection processes.

C. Third Principle

“[T]o the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.”¹¹

Today, load integration and generator interconnections are studied separately in MISO’s footprint. However, through its stakeholder-driven planning process, MISO coordinates bottom-up and top-down projects to avoid duplicative facilities and ensure only necessary facilities move to construction. Therefore, MISO’s existing processes, and by extension, ATC’s existing practices, support efficient siting of load and already minimize the need for costly network upgrades.

As discussed above, traditional studies of hybrid facilities would assume balance between the load and generation. Thus, network upgrades built to support the hybrid facility would account for the net impact of the hybrid facility, not for the full load without the companion generation. If the load exceeds the studied, net amount, the excess demand must be served by the transmission system. However, because the full load was not studied and planned for, the network upgrades to support that transmission service would not exist and costs could

¹¹ Proposed ANOPR at P 20.

inappropriately shift to other ratepayers that share in the cost of the grid. In ATC's footprint, all Customers (and their end-use customers) pay for transmission service through network service charges based upon peak demand. If co-located load draws more than contemplated in the studies, ATC must deliver that extra power using shared transmission assets. The cost of maintaining reliability (i.e., redispatch, congestion management, emergency upgrades) is spread across all network service customers, even though the excess demand comes from one facility. Therefore, co-located large loads could benefit from transmission capacity and reliability services that were not studied, and other customers would absorb the costs and associated reliability risks.

To address this concern, ATC recommends that the Commission require "process-matching" when considering how to study hybrid facilities. ATC serves a number of paper mills, which have a prominent presence in ATC's footprint. Paper mills often use on-site, behind the meter hydropower to support papermaking. Typically, the paper mills provide ATC with load forecasts of the net amount of usage, in other words, the total load the paper mill necessitates to operate and function, minus the amount they rely on from their hydropower generation. These co-located generators and loads are "process-matching," meaning that if the co-located hydropower generation failed, the paper mill would cease operations. This failsafe allows ATC to minimize reliability risks associated with the paper mills providing "net" amounts of load in forecasts. In ATC's experience, it is essential to incorporate process-matching requirements, because without it, if the load and generation profiles don't align in real time, reliability risks and NERC planning violations loom. If hybrid facilities are not process-matched and the load exceeds studied levels, the transmission system becomes the "backstop," and other customers subsidize that excess use through shared costs and reliability impacts. For a transmission-only

utility such as ATC, this is especially problematic because it undermines cost causation principles and creates compliance and fairness challenges.

D. Fourth Principle

“[L]ike generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties. These provisions deter speculative projects and provide transmission providers with more useful information to more accurately forecast demand on their systems. We seek comment on the extent to which the existing study deposits, readiness requirements, and withdrawal penalties can be adopted. We also seek comment on whether additional commitments or financial penalties would be appropriate.”¹²

ATC generally supports subjecting loads that meet the threshold applicability requirements to standardized study deposits, readiness requirements, and withdrawal penalties, analogous to the LGIP. Eliminating speculative requests for significant load growth from consideration by implementing these stringent requirements would help focus time, costs, and resources to expeditiously interconnect serious customers. Large loads requiring a significant amount of network upgrades can be speculative — which results in transmission owners, such as ATC, engaging in work for loads that do not materialize, wasting money and resources.

To encourage lasting commitment from prospective new loads, ATC has adopted a practice of conducting indicative studies for our LDCs/Customers to support their end-use customers’ ability to explore various concepts in a relatively short time period (approximately 4-6 weeks), and inexpensively (approximately \$12,000). These indicative studies help our Customers and their customer understand the amount of transmission facilities needed to interconnect a new load at a range of load levels and multiple locations. This process provides

¹² Proposed ANOPR at P 21.

our Customers and the prospective end-use customer with information to make business decisions much more quickly than waiting for a more comprehensive system impact study that can take upwards of nine months.

Additionally, ATC has adopted the approach of requiring our Customers that have end-use customers proposing loads driven by economic development to enter into a Project Commitment Agreement (PCA).¹³ The PCA protects all ATC Customers, and by extension ATC Customers' ratepayers, if the end-use customer cancels the project before the ATC facilities are completed and placed into service. If the project is canceled, the costs are recovered from the ATC Customer, who typically recovers directly from its end-use customer, except for those costs that can be re-purposed. Therefore, ATC respectfully requests that the Commission refrain from disturbing existing processes already in place to address the risk of speculative load and consider the risk of duplicating existing processes that could result in unintended consequences. As described, ATC has successfully developed processes to minimize the risk of speculative load.

E. Fifth and Sixth Principles

“[H]ybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested. For example, a hybrid facility consisting of a 500MW load and a 600MW generating facility may seek no withdrawal rights and 100MW of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.”¹⁴

“[A]ny hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights. We seek comment on whether other operational limitations should be considered. We also seek comment on the minimum technical requirements for such

¹³ Typically, ATC's Customers will enter into a similar “backing” agreement with its end-use customer.

¹⁴ Proposed ANOPR at P 22.

system protection facilities, whether a hybrid interconnection customer should be subject to penalties for unauthorized injections or withdrawals, how any such penalties should be designed, and how such penalties should be allocated to other transmission customers.”¹⁵

Conceptually, incentivizing co-location by evaluating requested injection and/or withdrawal rights may facilitate efficient buildout. However, implementation of operational limitations is essential. These criteria should include process-matching, as outlined under Principle 3. If process-matching cannot be achieved, the co-located load should be studied at its full load amount. This ensures that, in the event of co-located generation failure, the load can take network service to avoid service interruption without reliability and operational risks. Likewise, the load should bear the cost of network service for its full load amount, regardless of the presence of co-located generation.

As previously discussed, load that doesn’t conform to planning criteria regarding characteristics such as oscillation, ramp, and low voltage ride-through poses significant risks if not properly managed. Therefore, strict operational limitations must be enforced, as unauthorized injections or withdrawals, particularly with oscillating data center loads, cannot be tolerated. Establishing minimum operating requirements and limitations for new large data center loads will safeguard system reliability and streamline study processes. These requirements should be enforced through system protection facilities designed to prevent unauthorized injections or withdrawals and ensure compliance. At a minimum, the system protection facilities must be capable of disconnecting the hybrid interconnection from the grid if co-located facilities operate outside prescribed parameters.

¹⁵ Proposed ANOPR at P 23.

ATC strongly supports principles that uphold cost responsibility and maintain reliability, including proposed penalties for unauthorized injections or withdrawals. However, any implementation plan must avoid unintended cost shifts and ensure transparency for transmission customers. As the entity responsible for maintaining a reliable network, ATC requests that any penalty provisions be paired with strict operating requirements for non-conforming load.

F. Seventh Principle

“[T]he interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator’s ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.”¹⁶

Implementing requirements and processes for loads that agree to be curtailable, as well as hybrid facilities that agree to be curtailable and dispatchable, presents significant challenges. As outlined above, in ATC’s experience, these large load customers require 24/7, uninterrupted, guaranteed, reliable service. From ATC’s perspective, these customers will have network service, and pursuant to MISO’s Tariff, all network load is generally treated as firm service. Introducing curtailment of network load complicates system management and could create scenarios where other customers’ firm load is shed before the “curtailable” large load. Because ATC treats all network load as firm, even if a hybrid facility volunteers to be curtailable, ATC

¹⁶ Proposed ANOPR at P 24.

operators may not be able to selectively curtail that facility ahead of other network load. As a result, other network customers may need to be curtailed first to maintain system reliability. These compliance and fairness risks arise because transmission owners lack direct tools to selectively shed curtailable load outside of emergency operating instructions, creating a situation where priority service is disrupted before flexible service. Additionally, curtailing load can trigger NERC reportable events and compliance risks. These operational complexities underscore the need for clear processes and close coordination with RTOs/ISOs to prevent unrealistic expectations and mitigate reliability risks.

Generally, a “serial” interconnection study process, similar to the generation interconnection queue, would encounter the same efficiency challenges faced by generation interconnections. If serial studies are adopted, strict requirements to eliminate speculative work and enforce minimum operating limitations for large loads will be essential to keep studies moving efficiently. Each time the queue changes (i.e., a load drops out), re-studies must be conducted — adding timeline risk. Moreover, analyzing the detailed and complex interactions of large loads with the broader system, particularly when they do not perform as expected, poses significant risks to study timelines. As outlined above, speed to market is absolutely critical for large data center loads and any delays caused by interconnection processes could significantly impact project viability.

Additionally, group study processes introduce additional complications. Timelines for group studies rarely align with customer expectations, as new customers may wait months for the next cycle to begin. Evaluating multiple requests within shared models is inherently complex and can lead to delays. Furthermore, combining new generation and new loads in the same study models adds substantial complexity to cost allocation for network upgrades. For example, if new

loads have drastically different timelines than proposed new generation, but require the same network upgrades, determining fair cost allocation is extremely difficult.

ATC encourages the Commission to continue to recognize that local planning knowledge embedded in transmission owner study processes allows for more precise model updates and greater flexibility in study start dates. This results in better outcomes and more efficient timelines for customers. Therefore, the Commission should consider and preserve flexibility for transmission owners to study and plan projects to ensure optimization of transmission projects from a cost and reliability perspective.

ATC's experience demonstrates that load interconnection studies for non-conforming loads require substantial time and resources — far beyond the proposed 60-day timeframe. These studies demand extensive engineering effort and can last several months. For example, ATC recently completed an 18-month study costing approximately \$400,000 in contracted engineering services, primarily due to the novelty and complexity of the work. To streamline studies, establishing new requirements for reporting detailed AI load models and generator torsional models through NERC standards would be beneficial. Implementing stringent system performance and operating requirements for large loads, along with protection equipment to disconnect problematic loads, could further reduce System Impact Study durations. Notably, despite significant efforts to shorten timelines for generator interconnection studies involving inverter-based resources, those studies still exceed 60 days. Large, variable load studies will be similarly complex. Therefore, ATC recommends setting a more realistic expectation of 120 days for study completion.

G. Eighth Principle

“[L]oad and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.”¹⁷

ATC recognizes and appreciates the Commission’s intent to identify and direct assign certain network upgrades to a specific load or hybrid facility. However, ATC believes that this approach could lead to disputes, confusion, and delays in interconnecting new load. As outlined below, ATC recommends that the Commission adopt an alternative framework for direct assigning certain costs, consistent with ATC’s established practices.

Under any process that assigns all network upgrade costs directly to one load, the method to determine which load should bear which expense becomes highly complex. Through the generator queue studies, ATC consistently finds that network upgrades identified for generator interconnections are also required for large loads. Determining which entity should pay for each upgrade — the generator or the load — will almost certainly lead to disputes. Tight timelines for interconnecting large data center loads further complicate matters. For example, generators may have been studied first and identified as the cost causer, but what happens if loads require those projects two years earlier? ATC is already navigating these challenges as we work to serve new large data center loads. ATC maintains that such costs should be socialized because these network upgrades ultimately benefit all customers.

Given these inherent challenges associated with direct assignment of all network upgrades, ATC recommends that the Commission narrowly tailor direct assignment of

¹⁷ Proposed ANOPR at P 25.

interconnection facility costs to those that can be directly attributed to and likely exclusively used by the new load. For instance, the interconnection facilities specifically associated with the load interconnection, analogous to the transmission owner interconnection facilities (TOIF) in the generator process,¹⁸ could be directly attributable to the end-use customer. As the unambiguous cost-causer for those facilities, the load should bear that cost. Additionally, the Commission should consider requiring new loads to bear 100% of the costs for facilities necessitated by their characteristics that do not conform with planning and interconnection criteria addressing behavior such as oscillation, ramp, and low-voltage ride-through. For example, ATC faces challenges with load interconnections exhibiting significant power oscillations, and additional, specialty equipment may be required to address the oscillatory behavior. These specialty facilities, such as E-STATCOMs, are easily identifiable. Therefore, the costs of these facilities, including costs for the ongoing operation and maintenance of these facilities, would be appropriately directly assigned to the load without creating confusion or disputes. ATC is already engaging with these issues to interconnect large data center loads and standard load interconnections. As outlined above, ATC has developed Best Value Planning, defined in Attachment FF-ATCLLC. If an end-use customer requests or requires ATC to build facilities above and beyond the Best Value Plan, that end-use customer is directly responsible for those costs, and therefore that end-use customer is directly assigned those costs. End-use customers' requests to build facilities above and beyond the Best Value Plan include, for

¹⁸ Attachment X of MISO's Tariff defines TOIF as facilities and equipment owned by the transmission owner that are between the "Point of Change of Ownership" and the "Point of Interconnection." TOIF does not include network upgrades and are typically limited in nature. *See* MISO Tariff, Attachment X, Generator Interconnection Procedures, Section 1 (defining TOIF, Point of Change of Ownership, and Point of Interconnection).

instance, burying transmission lines for aesthetic purposes and installing equipment such as E-STATCOMs needed to address situations where a load cannot meet ATC's interconnection criteria, including oscillation limits.

Generally, ATC recommends that the Commission avoid drastic reforms that could result in untenable consequences. Transmission owners, such as ATC, should continue to be compensated for the risks of owning, operating, and maintaining network upgrades through mechanisms such as transmission owner initial-funding in any future scheme that permits direct assignment of costs of network upgrades.

H. Ninth Principle

“[T]o the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.”¹⁹

ATC encourages the Commission to incorporate transmission owner initial-funding in any future requirements related to load interconnection procedures. Without the option to self-fund load interconnection projects, a customer's option to build would present several concerns to ATC. As the transmission owner, ATC would be responsible for operating and maintaining assets it did not construct. This creates ongoing operation, maintenance, and compliance costs for our customers, and ongoing operation, maintenance, and compliance risks for our business. Therefore, the option to self-fund, ensuring that transmission owners such as ATC earn a return

¹⁹ Proposed ANOPR at P 26.

on and of transmission investment to support ongoing costs of maintaining a reliable system, should be included in the option to build for large load interconnections.

I. Fourteenth Principle

“[U]tilities serving large loads must meet all applicable NERC reliability standards and OATT provisions. Utilities and we must be prepared to revise large load interconnection procedures and agreements, as necessary. NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the BES.”²⁰

As noted above, ATC strongly supports the implementation of robust operational standards for large load interconnections, particularly those exhibiting significant oscillatory behavior, because such behavior can cause voltage and frequency instability if not properly managed. ATC supports efforts by the Commission and NERC to establish standards that ensure these interconnections are safe and reliable. Furthermore, ATC encourages the Commission to limit any new reliability standards to loads that meet the threshold applicability requirements recommended above — specifically, large loads with pronounced oscillatory characteristics — so that requirements are targeted to where they are most needed.

III. Conclusion

ATC respectfully requests that the Commission consider these comments in any future rulemaking in this proceeding. Further, ATC appreciates the willingness of the Commission to

²⁰ Proposed ANOPR at P 31.

continue to consider individual public utilities' FPA section 205 filings to address these and similar issues during the pendency of this proceeding.²¹

Respectfully submitted,

/s/ William Marsan

William Marsan

Executive Vice President, General Counsel

Stephanie Neitzel

Senior Counsel

ATC Management Inc., corporate manager of

American Transmission Company LLC

W234 N2000 Ridgeview Parkway Court,

Waukesha, WI 53188

(262) 506-6704

(262) 506-6170

bmarsan@atcllc.com

sneitzel@atcllc.com

²¹ Proposed ANOPR at P 32.

CERTIFICATE OF SERVICE

I hereby certify that I have on this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Pewaukee, WI, this 21st day of November 2025.

/s/ Stephanie Neitzel

Stephanie Neitzel

ATC Management Inc., corporate manager of

American Transmission Company LLC

W234 N2000 Ridgeview Parkway Court,
Waukesha, WI 53188

(262) 506-6170

sneitzel@atcllc.com